Sycamore Square — Legal and Regulatory Findings

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Zoning is the main open question for the planned redevelopment of Sycamore Square (1699–1735 Sycamore View Rd and 5800 / 5810 Summer Ave, Memphis, TN 38134): no source has yet confirmed that event halls, fuel sales or supervised childcare are allowed under the site's CMU-3 zoning. Flood looks manageable. Most of the building sits inside a FEMA 100-year flood zone, but the ground along about 85% of its walls is 2–4 ft above the flood level, so a survey will likely show the floor already meets the City's rule. Everything below comes from public records and desk research. It is not legal advice and needs confirmation by counsel, a surveyor and the City of Memphis before any binding commitment.

What stands out

1. **The frontage used to be an oil-change shop.**
   - County survey data from a 2017 aerial flight records a 2,086 SF building on the 1717 Sycamore View frontage, coded "mini lube" and built in 1981.
   - It was demolished, foundation and footings included, under a 2024 permit (DEM-24-000379), but what lies below ground is still unknown.
   - Quick-lube shops typically had used-oil tanks, service pits and hydraulic lifts, all common sources of soil and groundwater contamination.
   - The pad sits where the preferred fuel canopy would go.
   - A Phase I Environmental Site Assessment, done to the federal "all appropriate inquiries" standard before closing, is what generally preserves a buyer's defenses against inheriting cleanup liability. Counsel should confirm the scope.
2. **Three-quarters of the building is mapped in the 100-year floodplain, but it likely sits above the flood level.** A renovation reaching 50% of the building's value, about $1.5M of building work, brings the whole building under today's flood rules. That is likely manageable. Lidar puts the ground along about 85% of the walls at 250–252 ft, so a floor at or above that ground already meets the City's 250 ft standard, 2 ft above the 248 ft flood elevation. The only low ground is at the rear truck docks, which are normally built lower than the floor. The study budgets about $0.2M for flood work in the realistic case; a survey must confirm the floor. The low dock area makes removal from the flood zone by FEMA letter (LOMA) uncertain, but the plan does not depend on it.
3. **The broker's boundary line does not match the records.**
   - The four parcels, frontage included, total 11.72 ac on the assessor's records (9.533 + 1.353 + 0.476 + 0.362), matching the broker. The county GIS polygons add up to 11.88 ac; the ALTA survey settles the difference.
   - The broker's straight line takes in about 1,089 SF of the neighboring 5828 Summer parcel. The site plans do not use it: they follow the recorded parcel lines.
   - The frontage is a separate parcel. The contract must name all four parcels in full.
4. **The building's call-center past may cut conversion costs.** The 1997 build-out plans show an existing sprinkler riser room and a 1-hour fire-rated wall about 270 ft north of the south wall, between the two tenant areas shown on those plans. Both are useful for separating tenants and for the code upgrades an event-hall conversion triggers.

5. **Memphis is rewriting its zoning code.** A 2025/2026 update to the Unified Development Code is in progress. Use permissions and parking rules could change during the deal, so the zoning letter should be requested under the current code and the update tracked.
6. **Summer Avenue is US-70, a state route.** The state, not just the city, controls driveway changes on that side.

Confirmed from public records

These findings come from Shelby County / City of Memphis GIS, assessor and permit records, FEMA and USGS flood and elevation data, and the broker's marketing materials. Each still needs certification by a surveyor or the city.

Topic	Finding	Why it matters
Zoning	Three of the four parcels (088066 00027, 00020 and 00021) are zoned CMU-3 (commercial mixed use) per county GIS. The zoning of the frontage parcel, 00024, is not yet confirmed. Land to the west, behind the building, is zoned residential or agricultural (CA, CMU-2 with single-family use, R-6 / R-8).	CMU-3 is broad, but use permissions are not yet confirmed (see open questions). The residential edge usually brings landscape buffer or screening duties along the rear.
Flood zone	About 74% of the building footprint and about 4.0 acres of the site lie in FEMA Zone AE, the 100-year floodplain; the rest of the footprint is shaded Zone X. The current FEMA flood map panel is 47157C0311G, effective 6 Feb 2013, with Fletcher Creek as the flood source and no floodway on the site. The county property record also lists flood zone AE.	Federally regulated lenders must require flood insurance on loans secured by buildings in this zone (42 U.S.C. 4012a). The study already counts flood insurance in the yearly costs (about $25,000 a year in the realistic case).
Flood elevation	The base flood elevation (BFE) lines next to the building read 248 ft (NAVD88). USGS 1-meter lidar, flown in March 2017, puts the ground at 250–252 ft along about 85% of the walls. Along about 240 ft of the rear (west) truck-dock area it is 247.7–248.8 ft.	In the floodplain overlay, Memphis requires the floor of a new or substantially improved building to sit 24 inches above the BFE: 250 ft here. The floor likely already meets that if it sits at or above the surrounding ground. The low rear readings are at the truck docks, which are normally built lower than the floor so truck beds line up with the doors. A survey must confirm it.
The 50% rule	Under the National Flood Insurance Program, a building whose improvement cost reaches 50% of its market value is "substantially improved" and must then comply with current flood rules. The value counted is the structure only, not the land. At the assessor's 2026 building value of $2,994,800, the threshold is about $1.5M of building work, with site work excluded; an independent appraisal can set a higher value.	A full conversion to event halls will very likely cross 50%. The whole building would then have to meet current flood rules, including the 250 ft floor. If the floor is at or above 250 ft, as the ground levels suggest, that mostly means flood-resistant materials and equipment placement in the low dock area, budgeted at about $0.2M in the realistic case. Only a floor below 250 ft would push flood work toward the worst case of about $0.85M.
Possible way out	FEMA can issue a Letter of Map Amendment (LOMA) removing the building from the flood zone. A surveyor's elevation certificate must show that the lowest ground touching the building is at or above the BFE (44 CFR 65.5). Two neighboring properties had structures removed this way in 2021: 21-04-1260A (1658–1666 Sycamore View) and 21-04-5975A (5696 Summer). A third, 21-04-1360A (5865 Summer), was confirmed already outside the flood zone as mapped.	The rear dock area, at 247.7–248.8 ft, probably sets the lowest adjacent ground, so a LOMA is uncertain. The likelier result is a survey showing the floor already meets 250 ft. Only the elevation certificate is quick: FEMA has 60 days to rule on a complete request and can take 60 more (44 CFR 70.4), so a LOMA is unlikely before the auction.

Topic	Finding	Why it matters
Parcels and acreage	The deal covers four tax parcels. The assessor lists 088066 00027 (main building) at 9.533 ac, 088066 00020 (5800 Summer) at 1.353 ac, 088066 00021 (5810 Summer) at 0.476 ac and 088066 00024 (1717 Sycamore View frontage) at 0.362 ac. That totals 11.72 ac, matching the broker; the county GIS polygons add up to 11.88 ac. The earlier offering memorandum listed only three parcel IDs, leaving out 00024; the updated teaser lists all four.	The 0.16 ac gap is between the county GIS map and the recorded acreage, not a broker error. The ALTA survey settles it.
Frontage parcel	The frontage strip at 1717 Sycamore View is a separate record, 088066 00024 (0.362 ac per the assessor). The broker's straight boundary line overlaps about 1,089 SF of the adjoining 5828 Summer record, so the site plans follow the recorded lines instead.	The contract and legal description must name the frontage explicitly. The overlap with the neighbor's record must be resolved by survey and title.
Former quick-lube	County planimetric data (2017 flight) records a 2,086 SF "mini lube" building on the 1717 frontage, built in 1981. It was demolished, foundation and footings included, under permit DEM-24-000379, dated 31 Oct 2024; the assessor's record dates it 1 Nov 2024.	Former oil-change sites can carry buried tanks, waste oil or soil contamination. What lies below ground is still unknown, so a Phase I Environmental Site Assessment should cover this pad before any binding commitment.

Found but not yet verified

These points come from desk research and general rules. Each needs confirmation from title, the state or the city.

- **Selling the pads separately.** 5800 and 5810 Summer have their own tax parcel numbers, but that alone does not prove they can be sold or financed separately. Recorded plats, title and any reciprocal access and parking agreements decide that.
- **Access and parking agreements.** Shared driveways and parking with the adjoining retail parcels are likely governed by recorded easements or a reciprocal easement agreement (REA). They transfer with title and can limit how lots and drives are reconfigured.
- **Fuel station rules.** Underground fuel tanks in Tennessee fall under the TDEC Division of Underground Storage Tanks: notice before installation, leak detection, spill and overfill protection, and proof of financial responsibility. A ground lease to a fuel operator does not automatically remove environmental exposure from the landowner; the lease must allocate it.
- **Fletcher Creek Overlay.** The site is very likely inside the Fletcher Creek Overlay (UDC 8.9). There, new structures or expansions, such as a fuel station store, need floors 30 inches above the nearest BFE, and staff reports (P.D. 21-22, S 15-012) treat stormwater detention as mandatory. The City should confirm whether the parcels are inside it.
- **State highway access.** Summer Avenue is US-70, a state route. A new or changed driveway there likely needs a Tennessee Department of Transportation permit.
- **Change of building use.** Converting a former office and call center to wedding and event halls is a change to an assembly occupancy. That triggers current fire exit, sprinkler, fire alarm, restroom-count and accessibility (ADA) requirements. The 1997 tenant plans show an existing sprinkler riser room and a 1-hour fire-rated wall, which can help.

Open questions no source has answered yet

The largest legal unknown is whether the planned uses are allowed in CMU-3, and under what conditions. The full Memphis and Shelby County Unified Development Code could not be retrieved during research. A 2025–26 code update is in progress, and its drafts are not adopted law.

Question	What settles it
Are event / banquet halls, indoor recreation, supervised childcare and fuel sales permitted by right in CMU-3, or do any need a special use permit? Are there setbacks from the residential edge?	A written zoning verification letter from Memphis Division of Planning and Development, covering each parcel and use.
Does supervised care of wedding guests' children require a Tennessee Department of Human Services child care license? Do exemptions apply when parents remain on site?	A written determination from Tennessee DHS for the actual operating model.
Can the public play center offer restricted-access sessions, such as family-only or private-group hours? (Private event bookings set their own guest arrangements.)	Counsel's review of state and local public-accommodation law.
What parking minimums apply to each use, and are shared-parking reductions available?	UDC parking section, confirmed in the zoning letter. A surveyed stall count is also needed: the broker's 909 spaces have not been verified.
Does local floodplain law count improvements cumulatively over several years?	A meeting with the Memphis floodplain administrator.

Diligence before any binding commitment

The property is offered by Ten-X online auction on 2–4 Nov 2026 and is 0% occupied. Ten-X says all due diligence must be completed before the auction (Auction Keys to Success), so the sale is in effect as-is.

Finish the items below before any binding commitment. Start with the zoning answers, the main open question, and the elevation certificate, which should confirm the floor is above the flood level.

☐ ALTA / boundary and topographic survey, reconciling the 11.88 ac GIS polygon sum against the 11.72 ac shown by both the assessor and the broker, and the frontage boundary

☐ Title commitment, deeds, recorded plats, easements and any reciprocal access and parking agreements

☐ FEMA elevation certificate recording the floor and the lowest adjacent ground, including the rear dock area, with a LOMA request only if that ground is at or above the 248 ft BFE

☐ Floodplain administrator meeting on how substantial improvement will be measured and whether the Fletcher Creek Overlay covers the site

☐ Zoning verification letter for every planned use and parcel

☐ Phase I Environmental Site Assessment, with specific attention to the former quick-lube on the frontage

☐ Property condition, roof, structural and MEP assessment, including the existing sprinkler and electrical systems

Sources

- 44 CFR 59.1, NFIP definitions (eCFR). Substantial improvement is a cost equal to or above 50% of "the market value of the structure" before construction starts.

- 44 CFR 65.5, map changes without a new flood elevation (eCFR). FEMA excludes a structure from the flood zone when the lowest adjacent grade is at or above the base flood elevation.
- 44 CFR 70.4, FEMA review of map corrections (Cornell LII). FEMA rules within 60 days of receiving the technical data and may take 60 more.
- 42 U.S.C. 4012a (Cornell LII). Federally regulated lenders must require flood insurance on loans secured by buildings in a mapped flood zone.
- FEMA National Flood Hazard Layer, queried 18 Oct 2026. Panel 47157C0311G (effective 6 Feb 2013), the Zone AE and shaded X areas, the 248 ft BFE lines, and no floodway on the site.
- USGS Elevation Point Query Service. Ground elevations around the building walls from the 1-meter lidar flown in March 2017.
- FEMA letters of map amendment 21-04-1260A (1658–1666 Sycamore View, structure removed) and 21-04-1360A (5865 Summer, already outside the flood zone as mapped).
- Staff report Z12-107CC, 8 Nov 2012. The base floor of any building in the floodplain overlay must be 24 inches above the 100-year flood elevation.
- Staff report P.D. 21-22, 8 Jul 2021. The Fletcher Creek Overlay requires finished floors of all new structures at least 30 inches above the flood elevation, with on-site detention.
- Staff report S 15-012, 13 Aug 2015. For a lot on Shelby Oaks Drive near Sycamore View, City Engineering wrote that "Detention is mandatory" and floors must be at least 30 inches above the 100-year flood elevation (UDC 8.9).
- TDEC, Installation of New Tanks. A pre-installation form is due at least 15 days before installation, plus annual fees per tank compartment.
- Develop901, Unified Development Code. The UDC is the zoning code and subdivision regulations for Memphis and unincorporated Shelby County; a 2025/2026 update is listed.
- Shelby County Assessor, parcel 088066 00027. Assessor acreage and the 2026 building value of $2,994,800; the other three parcels have their own records.
- Property report, 1717 Sycamore View Rd. Demolition permit DEM-24-000379, dated 31 Oct 2024, covering the building, foundation and footings.
- Offering memorandum (earlier), 1735 Sycamore View Rd. Source for 11.72 ac, 127,634 SF, 909 spaces and traffic counts. It lists only three of the four parcel IDs.
- Auction teaser (updated). Ten-X auction on 2–4 Nov 2026, 0% occupancy and all four parcel IDs.
- Ten-X, Auction Keys to Success. All due diligence before the auction.
- Shelby County ReGIS GIS layers, queried 17 Oct 2026. Parcel zoning, parcel polygons, planimetrics (including the 1981 mini-lube record) and the published copy of the FEMA flood zones.
- Sitel Corporation tenant build-out plans, sheets A2.1 and A2.2, Jackson Bronson & Feraci (1997), supplied for this study. Source for the existing sprinkler room and 1-hour rated wall.
- EPA, Brownfields All Appropriate Inquiries. A Phase I done to ASTM E1527-21 within one year before acquisition (some parts within 180 days) supports the bona fide prospective purchaser and innocent landowner protections under CERCLA.

Public version. Everything here comes from public records, desk research and concept drawings; it is not legal, engineering or investment advice.